



Some believe that Tata Sons is offering steep salaries to the top management for too little work on the ground. “I’m told the CEO draws a salary of ₹27 crore. That’s unheard of in Indian aviation,” the official said.

Air India management, however, wants stakeholders to believe that the leadership will do whatever it takes to regain passenger confidence. A spokesperson says transforming a 93-year-old organisation is a complex, long-term endeavour. “Over the last three years, some significant organisational changes were introduced to bring professionalism and accountability. This is an ongoing journey,” says the spokesperson.

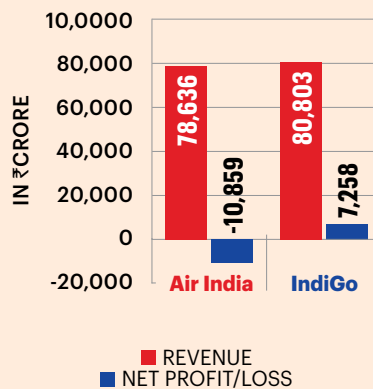
CHANGING STRUCTURES

Air India also faces cultural integration challenges following the merger of Vistara, AirAsia India, and Air India Express with the airline. Officially, the legal merger of Vistara is complete. However, integrating culturally and operationally on the ground is a long-drawn process. Vistara was founded on the back of the service ethos of Singapore and with a private-sector approach, unlike other Indian airlines. In contrast, Air India was a government behemoth for 93 years, powered by an intensely bureaucratic, hierarchy-driven culture.

AIR INDIA FACES CULTURAL INTEGRATION CHALLENGES FOLLOWING THE MERGER OF VISTARA, AIRASIA INDIA, AND AIR INDIA EXPRESS

FINANCIAL PERFORMANCE

- In FY25, Air India losses rose about 48% from previous year
- IndiGo’s huge profits provide it a cushion Air India lacks



Merging of pay scales, pilot retirement ages, and job grades has already seen sparks fly. Last November, Air India had to appoint a Chief Integration Officer just to iron out the creases when the Vistara brand was folded up. The first month apparently saw over 100,000 booking errors due to the merger of IT systems. That was one of the many indications of the difficulty of the transition.

And then there’s the issue with the maintenance of the aircraft.

When Air India was privatised, the government did not hand over Air India Engineering Services Ltd (AIESL) as part of the deal. Hence, the airline started outsourcing maintenance to AIESL. Several reports suggest that the engineering services’ accounting and governance systems are outdated. Sources say following the crash, Air India is expected to utilise its joint venture partner Singapore Airlines’ engineering services for maintenance, which will be carried out in a phased manner.

For Air India, it is not just about navigating internal challenges, but also about external competition. The biggest one is from IndiGo, which sits comfortably with a seemingly impregnable market dominance. Its June 2025 market share was a whopping 64.5%; Air India was at 27.1%.

Even Air India’s strongest positioning—55% share on metro-to-metro routes and 40% share on top 120 domestic routes—reflects niche dominance rather than a comprehensive market challenge. Hence, Wilson’s target of a 30% domestic market share by 2027 appears ambitious now, given that it lost nearly 2% share in a year and might lose more post the tragic crash.

THE INDIGO CHALLENGE

The stranglehold of IndiGo on the Indian aviation market might be hard to challenge, but there are several things that Air India can do to put up a good fight.

According to a former chief pilot at one of the airlines, Air India still has a bloated staff and hence needs to keep a watch on CASK and RASK, the key metrics to measure an airline’s efficiency. CASK (cost per available seat kilometre) and RASK (revenue per available seat kilometre)